

Spotify revenue forecast

Over a 5-year period we have seen the number of premium subscriptions increase, which has caused an increase in Spotify's revenue. In addition, Spotify has demonstrated pricing power through subscription price increases, contributing to higher average revenue per user (ARPU) and supporting revenue growth. Furthermore, Spotify has ventured into new audio markets such as audio books and podcasts, expanding their userbase allowing for more potential growth in the future.

Upside risks

While our assumptions for the next 3 years assume that the growth decreases, there are many opportunities for Spotify to do the opposite. This could be for a multitude of reasons such as an unpredictable spike in premium subscribers, or higher revenue from advertising. This would be extremely effective in optimizing revenue due to majority of their userbase being free subscribers who are forced to listen to advertisements to use their services. Advertising revenue could exceed expectations if Spotify improves monetisation of its free-tier user base through higher advertising rates, increased advertiser demand, or greater engagement with podcast content., the latter of which could also cause an increase in premium subscriptions due to users avoiding unwanted interruptions of advertisements.

Downside risk

Spotify's growth could see a decline due to many factors such as competition and the increase in music royalties. While Spotify holds the largest user base, its competitors like apple music are also growing. While Spotify maintains its buying power for now, increasing their subscription costs can keep driving away users as seen by recent price increases. This causes slower user growth for Spotify whereas for Apple music their cheaper premium costs offer a strong alternative for users. Rising royalty costs may limit margin expansion and reduce profitability, particularly if Spotify is unable to offset these costs through subscription price increases or advertising growth.

Conclusion

Based on reasonable growth assumptions, Spotify appears capable of sustaining revenue growth while improving profitability through operating leverage and monetisation initiatives.